ASSETPLUS

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The HNI parked in arbitrage or debt

Suresh, 52: the story, the conversation, and the numbers to show



In short: Suresh holds ₹60 lakh in arbitrage and income plus arbitrage funds. Over 12 months the middle hybrid SIF returned 7.51%, against 6.04% and 4.65%.



Suresh, 52

Senior executive · 30% tax slab · illustrative story

Suresh is a senior executive. His equity is in mutual funds and ESOPs. The 'safe' half, ₹60 lakh, is in arbitrage and income plus arbitrage funds. He reads the markets daily and asks sharp questions.

"Show me numbers, not adjectives."

The conversation

PARTNER
What return do you expect from the safe half?

CLIENT
Better than an FD after tax. Without equity swings.

PARTNER
Over 12 months: arbitrage 6.04%, income plus arbitrage 4.65%, the middle hybrid SIF 7.51%.

CLIENT
And the bad months?

PARTNER
4 losing months for the SIF, the worst about 2.4%. So use a slice of the safe half, not all of it.

Before and after ₹ lakh

Today	Arbitrage ₹35L	Inc + arb ₹25L	
Proposal	Arbitrage ₹30L	Inc + arb ₹15L	SIF ₹15L

Why a SIF may fit

- Built for the space between arbitrage and equity
- Shorts can soften falls in a weak market
- Fits as a slice of his debt allocation, not of his equity

Numbers to show % return; after tax for a 30% slab investor

	Last 12 months	After tax (30% slab)	March 2026 (Nifty −11.3%)
Arbitrage funds	6.04%	4.83%	0.53%
Income plus arbitrage FoFs	4.65%	3.25%	−0.01%
Hybrid SIF, middle fund	**7.51%**	**6.01% or 5.26%**	−1.92%

Objections you will hear

They say	You can say
"The FoF is taxed at 12.5% after 2 years."	Check the SIF's tax category; equity-taxed strategies pay 12.5% after 1 year, above ₹1.25 lakh of gains.
"One year of data is too short."	Agreed. Start with a slice and judge it over 2 years, not 2 months.
"Results differ too much by fund."	They do: −1.0% to 24.0% in 6 months. Choose on strategy and risk band.

Not suitable if

- Wants debt-like steadiness on all of it
- Holds the money for a known date soon
- Already has high equity exposure overall

Next steps on AssetPlus

- Check which of his funds is due for tax-free switching
- Pick one hybrid strategy
- Review against arbitrage after 12 months

For AssetPlus partners (registered mutual fund distributors) only. Not for distribution to investors. Investments in Specialized Investment Funds involve relatively higher risk, including potential loss of capital, liquidity risk and market volatility. Please read all SIF related documents carefully before investing. Mutual Fund investments are subject to market risks, read all scheme related documents carefully. Past performance may or may not be sustained in future. Tax for a 30% slab investor before cess and surcharge, under today's rules; it depends on each investor's situation. Sources: AMFI SIF and mutual fund NAVs (our calculations, Regular plans, growth), AMFI SIF assets, NSE Indices, RBI, SEBI SIF framework. Data to 23 Oct 2026.